

Figure 2-1												
HOW MUCH DO YOU NEED TO SAVE EACH MONTH TO MEET YOUR GOALS?												
Look across the top row and find the dollar amount that corresponds to your goal. Now look down the far-left column and locate the number of years in which you hope to achieve your goal. The point at which your goal and the number of years intersect is the amount you need to save each month.*			YOUR SAVINGS GOAL									
	\$1,000	\$2,000	\$3,000	\$5,000	\$7,000	\$10,000	\$20,000	\$30,000	\$50,000	\$70,000	\$100,000	
1	\$85	\$169	\$254	\$423	\$607	\$845	\$1,691	\$2,536	\$4,227	\$6,067	\$8,454	
2	43	86	129	215	301	429	859	1,288	2,146	3,005	4,293	
3	29	58	87	145	203	291	581	872	1,453	2,035	2,906	
4	22	44	66	111	155	221	443	664	1,107	1,549	2,214	
5	18	36	54	90	126	180	360	539	899	1,259	1,798	
6	15	30	46	76	106	152	304	456	761	1,065	1,521	
7	13	26	40	66	93	132	265	397	662	927	1,324	
8	12	24	35	59	82	118	235	353	588	823	1,176	
9	11	21	32	53	74	106	212	318	531	743	1,061	
10	10	19	29	48	68	97	194	291	485	679	969	

* The goals listed across the top row of the table are in constant dollars. This means that if your goal is to buy a car in five years that's equivalent to a \$20,000 car today, you need to set aside \$360 every month to end up with a sum that has the right purchasing power (\$20,000 today is equal to roughly \$17,000 five years from now). In other words, you don't have to worry about inflation eroding the value of the \$20,000; the table takes it in for you.

↓ FIGURING OUT WHERE YOUR MONEY GOES

Saving isn't easy for most people, and putting aside a fixed amount each month can seem like an impossible task. But the fact is you probably *can* save—even if you feel like you're barely making ends meet now. The key is getting a handle on your current spending habits and then reevaluating your priorities. This section will help you do the necessary financial soul searching it often takes to help achieve your goals.

The first step is to keep a detailed spending diary for one month so that you can get a clear sense of exactly where your cash goes. Keeping the diary is simple: Just get a little notebook and write down everything you spend money on, from your morning coffee to the quarter in the parking